

SECTION 5: MARKET STRUCTURE

5.1 PERFECT COMPETITION

Multiple Choice Questions

1994/CE/II/29

Competition in the market will tend to be imperfect when

- (1) customers favour brand names.
 - (2) there are differentiated products.
 - (3) there is free entry into the market.
 - (4) there are numerous sellers.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (4) only
D. (3) and (4) only

2000/CE/II/26

Private doctors in Hong Kong charge different price for their medical services. This is because

- A. people do not have sufficient knowledge of their illnesses.
B. there are many doctors in the market.
C. the private doctor's service are different.
D. there are entry barriers to become a doctor.

2002/CE/II/23

Which of the following is a general feature of a perfectly competitive market?

- A. Market information is imperfect.
B. There is non-price competition.
C. There is only one price prevailing in the market.
D. None of the above is a correct answer.

2008/CE/II/24

Which of the following is a feature/are features of a perfectly competitive market?

- A. There is freedom of entry and exit of firms.
B. The market price of the product is stable.
C. Sellers use non-price competitions to attract consumers.
D. All of the above are correct.

2024/DSE/I/18

Which of the following statements about perfect competition is **INCORRECT**?

- A. The market price tends to be stable as no firm can affect the market price.
B. Price is the only competitive criterion in determining the distribution of goods.
C. The marginal cost of the last unit of all firms is equal when the firms maximise their profits.
D. Firms sell homogeneous products.

Short & Structured Questions

1992/CE/1/1(a)

Suggest **TWO** reasons why the taxi service provided for passengers in Hong Kong is not perfectly competitive. (6 marks)

1995/CE/1/4

Give **TWO** reasons to explain why the laser disc rental shops in Hong Kong are **NOT** operating under perfect competition. (4 marks)

2003/CE/1/4

Give **TWO** characteristics of the market structure under perfect competition. (2 marks)

2004/CE/1/10(d)

Based on the information given in the following advertisements, give **TWO** reasons to explain why the travel agencies industry in Hong Kong is not perfectly competitive. (4 marks)

ABC Travel Ltd. Japan 5-day Deluxe Tour Tokyo (including a ticket for Disneyland) 5 Star Hotels Special Offer : \$5,999	XYZ Travel Ltd. Japan 5-day Leisure Tour Tokyo 4 Star Hotels Special Offer : \$3,999
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2006/CE/1/9(b)

Cosmetics is one of the favourite consumer goods bought by these tourists. There are many retail shops selling cosmetics in Hong Kong. There is keen competition among these shops.

Give **TWO** reasons to explain why the market structure of these retail shops is **NOT** perfect competition. (4 marks)

2007/CE/1/8(c)

Many university students work as part-time private tutors in their spare time. Give **TWO** reasons to explain why the market structure of private tuition in Hong Kong is **NOT** perfect competition. (4 marks)

2013/DSE/II/1

In Hong Kong, there are many travel agencies providing tour groups and booking services for air tickets. Give **TWO** reasons to explain why the market structure of travel agencies in Hong Kong is **NOT** perfect competition. (4 marks)

2018/DSE/II/12(a)

Tourism is one of the 'pillar industries' in Hong Kong.

Source 1: search result from a hotel booking website

Hotel A Tsim Sha Tsui East, Kowloon	☆☆☆☆☆ 30 square metres 2 Twin Beds	Free cancellation	Book now! HK\$2 100 OR RMB¥1 750
Hotel B Tsim Sha Tsui East, Kowloon	☆☆☆☆☆ 32 square metres 2 Twin Beds Free WIFI	Non-refundable	Book now! HK\$2 040 OR RMB¥1 700

With reference to Source 1, give **TWO** reasons to explain why the market structure of Hong Kong's hotel industry is **NOT** perfectly competitive. (4 marks)

1998/CE/I/10(c)

Personal computers of the same type are sold in many shops in Hong Kong at slightly different prices.

- (i) Explain with an example why there is such a price difference. (2 marks)
- (ii) Identify the market structure of these shops. (1 mark)

2001/CE/I/4

Cans of Coca-Cola are sold at different prices in different shops. Give **TWO** reasons why there is such a price difference.

(4 marks)

2009/CE/I/11(c)(ii)

Identical bottles of red wine are sold in different shops at different prices. Give **TWO** reasons to explain why there is such a price difference. (4 marks)

2015/DSE/II/9(c)

The price of a cup of Espresso in McCafé is lower than that in Starbucks. Suggest **TWO** possible reasons to explain why there is such a price difference. (4 marks)

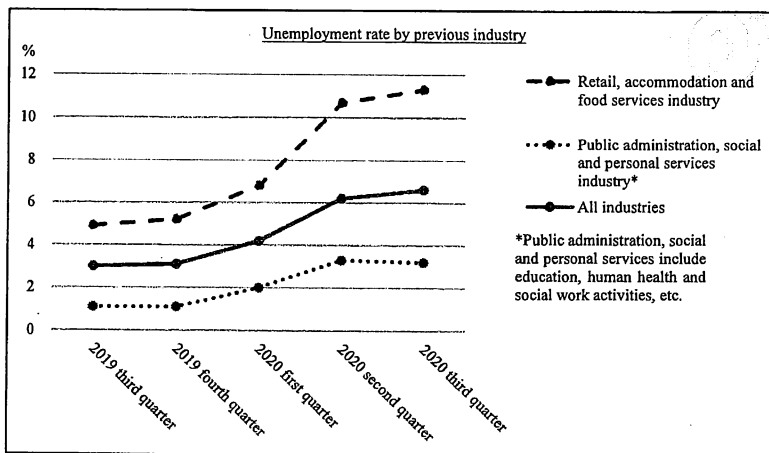
2021/DSE/II/4

Give **TWO** reasons to explain why the smartphone market is **NOT** perfectly competitive. (4 marks)

2022/DSE/II/11c

The Government launched the Consumption Voucher Scheme in 2021 to relieve the impact of COVID-19 on the Hong Kong economy.

Source A: Statistical data about unemployment rate in Hong Kong



Source B: An extract of information about the Consumption Voucher Scheme

All Hong Kong permanent residents and new arrivals aged 18 or above, who comply with the 'residing in Hong Kong*' requirement, could register to receive electronic consumption vouchers with a total value of \$5 000 by instalments.

Source C: Information about the four designated stored value facilities to receive the \$5 000 consumption vouchers by instalments

	AlipayHK  AlipayHK	Octopus  八達通 Octopus	Tap & Go  Tap & Go	WeChat Pay HK  WeChat Pay®
Public transportation with the above payment facilities installed	MTR, bus, mini bus and ferry	MTR, bus, mini bus and ferry	Bus and mini bus	None
Promotions to consumption voucher users	5 e-coupons	First 2 million registered customers enjoy \$18 of stored value	\$50 awarded when using virtual Tap & Go Unionpay card for the first transaction with an amount equal to or larger than \$50	e-coupons

Source D: Some reminders for the Consumption Voucher Scheme

- Consumption vouchers cannot be used in transactions such as payments to the government (e.g. tax), public utilities (e.g. electricity charges), purchase of financial products (e.g. insurance), and direct purchase from merchants located outside Hong Kong.
- There are deadlines for using consumption vouchers.

Source E: Some views on the Consumption Voucher Scheme in Hong Kong

A housewife 	I have spent more than \$5 000 as there are e-coupons from the stored value facility provider. A lot of promotions in large retail chains and malls have also tempted me to consume!
A former chef in a restaurant 	I have been laid off and have stayed home for months. No one knows when the travellers would be back. I hope that the Consumption Voucher Scheme will bring more local people to spend on food and beverage and the whole industry can survive the pandemic. Otherwise, many workers will be forced to leave the industry.
A doctor working in a public hospital 	Resources should be allocated to the medical sector, instead of giving everyone an equal amount under the Consumption Voucher Scheme. The public hospitals lacked space, manpower and equipment even before the pandemic. Start building new hospitals earlier so that more lives could be saved.

- (c) Based on the information given in Source C, explain with **TWO** reasons why the market of stored value facilities in Hong Kong is **NOT** perfectly competitive. (4 marks)